

RBI FINANCIAL STABILITY REPORT

EXECUTIVE SUMMARY

This report provides the review of the Reserve Bank of India's Financial Stability Report (FSR) with a focus on the stability, resilience, and emerging risks within the Indian financial system. It covers the performance of scheduled commercial banks (SCBs), Non-Banking Financial Companies (NBFCs), financial markets, and the broader macro-financial environment.

Despite global tensions, trade uncertainty, and fluctuations in financial markets, India's financial system remained stable during the review period. Strong domestic demand, lower inflation, supportive government and RBI policies, and healthier company balance sheets helped maintain stability. Banks also remained financially strong, with good capital levels, steady profits, sufficient liquidity, and very low bad loans (GNPA levels at multi-year lows).

The report also highlights the improving financial health of NBFCs and the resilience of financial institutions under RBI stress-testing frameworks. Stress test results indicated that banks and most NBFCs would remain above the minimum regulatory capital requirements even under adverse macroeconomic scenarios.

However, the RBI identified several emerging risks include rising unsecured retail lending, global macroeconomic uncertainty, fintech-related operational risks, cybersecurity threats, and climate-related financial vulnerabilities. These risks may affect asset quality, credit growth, liquidity conditions, and overall market confidence if not managed effectively.

Overall, the findings suggest that the Indian financial system remains well-positioned to withstand external shocks, supported by strong regulatory oversight, improved asset quality, and robust capital buffers.

1.0 INTRODUCTION

The Financial Stability Report (FSR) published by Reserve Bank of India is a biannual report to assess the overall stability and strength of India's financial system. The report provides insights into the condition of banks, Non-Banking Financial Companies (NBFCs), financial markets, and the overall economy.

Financial stability is important because a stable financial system supports economic growth, maintains investor confidence, and ensures smooth functioning of banking and credit activities. Any weakness in the financial system can affect businesses, employments, investments, and overall economic performance.

The FSR is closely monitored by regulators, investors, policymakers, and financial institutions as it highlights major risks and vulnerabilities that could impact the economy. It also helps stakeholders understand the preparedness of the banking and financial sector during periods of economic uncertainty.

The RBI publishes the Financial Stability Report twice every year. The report mainly evaluates:

- * Banking sector's health and performance.
- * Condition of NBFCs and other financial institutions.
- * Developments in financial markets.
- * Risks affecting the financial system and economy.
- * Ability of the financial system to handle economic stress.

Overall, the FSR acts as an important tool for assessing the resilience and stability of India's financial sector.

2.0 IMPORTANT FINANCIAL TERMINOLOGIES

GNPA RATIO: Percentage of loans borrowers are unable to repay.

CRAR: Measures of a bank's financial strength and ability to absorb losses.

ROA (Return On Assets): Indicates how efficiently a bank earns profit from its assets.

NBFC: Financial institution that provides loans & financial services but doesn't operate like a full commercial banks.

Liquidity Buffer: Extra funds maintained by banks to handle sudden financial stress or withdrawals.

Stress Testing: Process used by RBI to check whether banks can survive difficult economic conditions.

Capital Buffer: Additional capital maintained by banks for protection against financial risks and losses.

Asset Quality: Indicates the overall health of loans given by banks and financial institutions.

3.0 CORE ANALYSIS OF RBI FINANCIAL STABILITY REPORT (FSR)

3.1 Banking Sector Health:

The Indian banking sector remained stable and strong during the review period despite global uncertainty and geopolitical tensions. According to the RBI Financial Stability Report, scheduled commercial banks (SCBs) maintained strong capital positions, better asset quality, and steady profitability.

This improved the overall resilience of the banking sector and strengthened investor confidence in the financial system.

The report also stated that the overall financial system was supported by healthy balance sheets, strong earnings, and sufficient liquidity. Stress test results showed that banks would still remain above the required regulatory capital levels even in difficult economic conditions.

Key Banking Sector Indicators

Indicator	Observation	Trend
Gross NPA Ratio	Multi-decadal low levels	Improving
Capital Adequacy Ratio (CRAR)	Well above regulatory requirement	Stable
Return on Assets (ROA)	Stable profitability	Positive

Credit Growth	Double-digit growth with moderation	Stable
Liquidity Position	Adequate buffers maintained	Strong

***Source: RBI Financial Stability Report, December 2025**

INSIGHTS:

1. The decline in Gross Non-Performing Assets (GNPAs) shows that banks have improved the quality of their loans, recovered more bad loans, and maintained better financial reserves for potential losses. As a result, banks now have stronger balance sheets and are better prepared to handle financial risks and economic shocks.
2. Strong capital adequacy ratios show that Indian banks have enough capital to absorb losses during economic stress or rising credit risks. In addition, stable profits and adequate liquidity have helped strengthen the overall resilience of the banking sector.
3. Although credit growth remained strong, it showed some moderation due to tighter financial conditions and cautious lending by banks amid global uncertainties.

KEY BANKING SECTOR INDICATORS – FY 2025

Indicator	Approximate Level
CRAR	16–17%
ROA	1.3–1.4%
Credit Growth	12–15%
GNPA	2–3%

***Source: RBI Financial Stability Report, June 2025**

Understanding the Indicator's Ranges:

CRAR: 16–17%: Means most banks had capital adequacy between 16% and 17%.

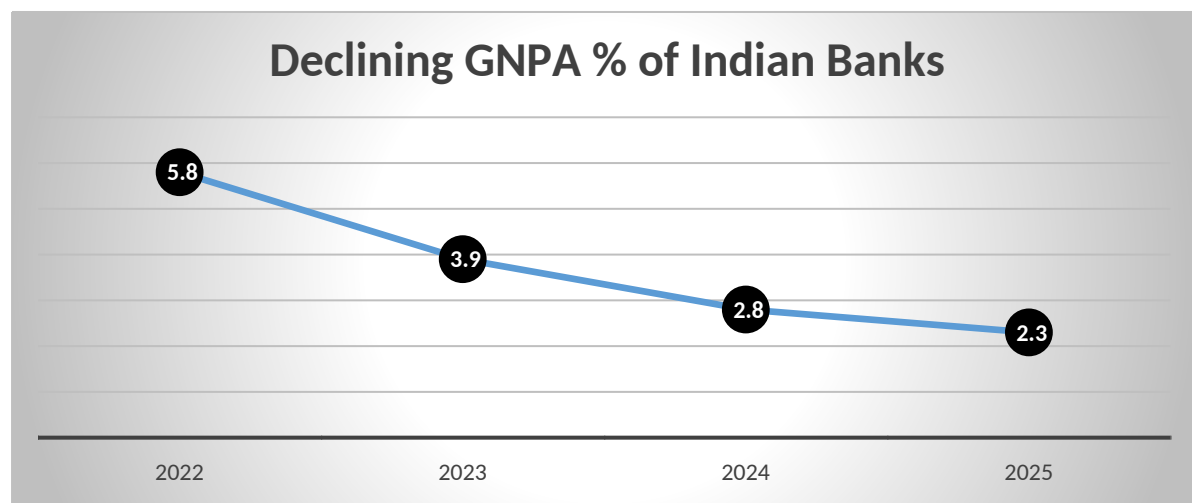
ROA: 1.3–1.4%: Means banks earned around ₹1.3–₹1.4 profit for every ₹100 of assets used.

Credit Growth: 12–15%: Means bank lending increased by around 12% to 15% during the year.

GNPA: 2–3%: Means bad loans were approximately 2% to 3% of total loans.

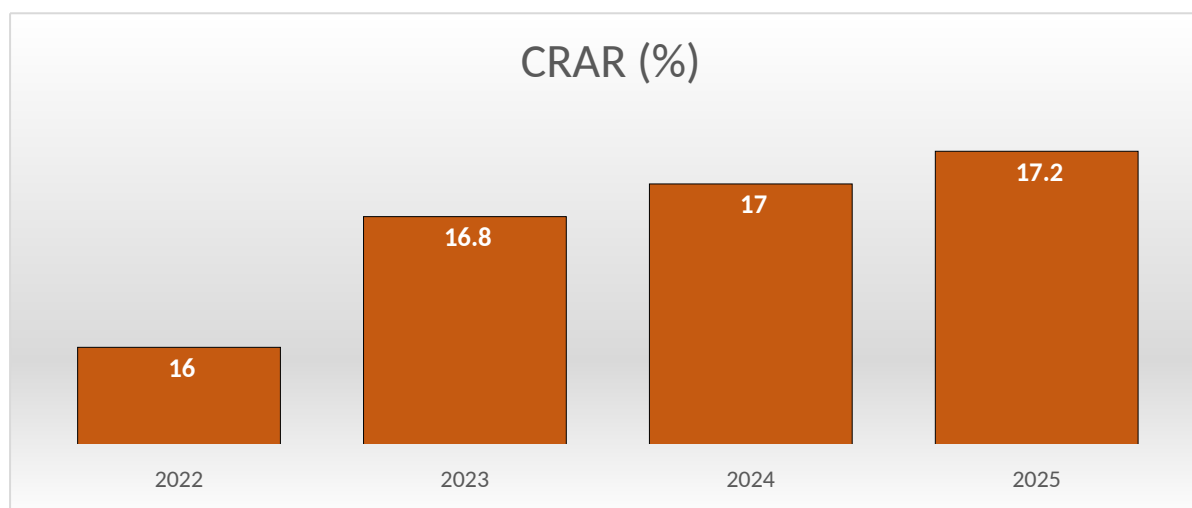
A range is used instead of a single exact figure because banking indicators vary across banks and over different reporting periods. The figures shown represent approximate industry-wide levels during FY 2025.

GNPA TREND OF SCHEDULED COMMERCIAL BANKS



INSIGHT: The declining GNPA ratio shows that banks have fewer bad loans, which improves asset quality and strengthens the overall financial stability of the Indian banking system.

CRAR TREND OF SCHEDULED COMMERCIAL BANKS



***Source: RBI Financial Stability Report, June 2025 & December 2025**

INSIGHT: The stable rise in CRAR indicates that Indian banks maintained strong capital buffers and improved their ability to absorb financial shocks during the review period.

3.2 NBFC & FINANCIAL MARKET STABILITY:

Non-Banking Financial Companies (NBFCs) continued to support the Indian economy by providing credit to retail customers, MSMEs, and other underserved sectors. According to the RBI FSR, the NBFC sector remained financially strong with adequate capital and stable profits. This supported credit availability to retail borrowers and MSMEs, contributing to broader economic activity.

The report also stated that most NBFCs maintained capital levels above the required regulatory limit. In addition, RBI stress tests showed that the sector would remain resilient even under adverse economic conditions.

NBFC SECTOR ASSESSMENT

Parameter	Assessment
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Capital Position	Strong
Asset Quality	Improving
Credit Growth	Stable
Liquidity Position	Adequate
Profitability	Stable

***Source: RBI Financial Stability Report, December 2025**

INSIGHT: 1. Non-Banking Financial Companies (NBFCs) remain important for the financial system because they help in providing loans to households and Micro, Small and Medium Enterprises (MSMEs).

2. They are also closely connected with banks, which increases their importance in the economy. Strong capital reserves and better asset quality show that the sector remains financially stable.

However, increasing loans in unsecured retail lending and dependence on market borrowings may create risks during periods of financial stress. Any weakness in the NBFC sector can also affect the overall financial system because of its close linkages with banks and other financial institutions.

3.3 STRESS TESTING & RISK ASSESSMENT:

Stress testing is an important tool used by the RBI to check whether the financial system can remain stable during difficult economic conditions.

The RBI conducted stress tests under different risk scenarios such as **geopolitical tensions, trade disruptions, rising inflation, financial market volatility, and global economic slowdown.**

The results showed that scheduled commercial banks (SCBs) would still maintain capital levels above the minimum regulatory requirements even during severe stress situations.

INSIGHTS:

1. The stress test results show that the Indian banking system has the ability to handle economic shocks and uncertainties.
2. Strong capital reserves, better provisioning, and effective regulatory supervision have helped improve the stability of the financial system.
3. The findings also suggest that Indian banks and financial institutions are in a relatively strong position to manage global financial risks and market disruptions.

STRESS TESTING FRAMEWORK

Macroeconomic Shocks

(Economic slowdown, inflation, global uncertainty)



Credit Risk Increase

(Higher possibility of loan defaults)



Stress Testing by RBI

(RBI checks how banks perform under difficult conditions)



Capital Impact Assessment

(Evaluation of whether banks have enough capital to absorb losses)



Banks Remain Above Regulatory Minimum

(Banks continue to maintain capital above RBI's required limit)

3.4 CONTRADICTIONARY FACTORS & EMERGING RISKS:

Although the Indian banking and financial sector showed significant improvement in profitability, capital strength, and asset quality, certain emerging risks continue to require close monitoring. Rising unsecured retail lending, increasing dependence on digital lending platforms, global financial

uncertainty, and technology-related risks may create future challenges for banks, NBFCs, and the overall financial system if not managed carefully.

1. Unsecured Retail Lending Risk

Observation

Growth in unsecured retail loans such as personal loans and credit card borrowings remained high during the review period

Why It Matters

Unsecured loans are not backed by collateral, making them more vulnerable to defaults during economic stress or income disruptions.

Potential Impact

A continuous increase in defaults and delayed payments in unsecured loans can reduce asset quality and raise credit risk for banks and NBFCs.

2. Fintech & Digital Lending Risk

Observation

Digital lending platforms and fintech-based credit models are expanding rapidly across the financial sector.

Why It Matters

Aggressive lending and weak borrower checks may increase operational risks and consumer protection concerns.

Potential Impact

Inadequate regulatory oversight or poor credit assessment mechanisms could result in higher default rates and financial instability in digitally originated loans.

3. Global Macroeconomic Risk

Observation

Geopolitical tensions, trade uncertainty, and volatile global financial conditions continue to affect the external economic environment.

Why It Matters

External shocks may trigger capital outflows, exchange rate volatility, and weaker investor sentiment in emerging economies like India.

Potential Impact

A sharp correction in global markets may tighten domestic financial conditions and adversely impact growth, trade, and financial market stability.

4. Cybersecurity & Technology Risk

Observation

The increasing digitalisation of banking and financial services has expanded dependence on technology infrastructure.

Why It Matters

Cyberattacks, data breaches, and operational disruptions may affect financial institutions and customer confidence.

Potential Impact

Systemic cyber incidents could disrupt payment systems, digital banking operations, and overall financial sector stability.

5. Environmental, Social & Governance Risk

Observation

Climate-related financial risks are emerging as an important area of regulatory focus globally and domestically.

Why It Matters

Climate-related events and stricter environmental regulations can reduce the profits and asset values of some industries, increasing the risk of loan defaults and financial losses for banks and financial institutions.

Potential Impact

Ignoring climate risks in financial decisions may create long-term risks for the financial system because climate-related events such as floods, heatwaves, stricter environmental regulations, or shifts toward clean energy can affect businesses' profits and their ability to repay loans. If banks and financial institutions do not consider these risks while lending or investing, they may face higher defaults, falling asset values, and financial losses in the future.

Therefore, while the Indian financial system remains resilient, continuous regulatory monitoring and prudent risk management remain essential to maintain long-term financial stability.

4.0 CAUSES BEHIND IMPROVED FINANCIAL STABILITY:

1. The Reserve Bank of India (RBI) followed careful monetary and financial policies, which helped maintain stability in the banking and financial system.
2. Banks improved their loan recovery processes and kept more financial reserves for possible losses, which helped reduce bad loans (NPAs).
3. Strong domestic demand and regular economic activity supported business growth and increased financial stability.
4. Inflation remained under control during the review period, which helped maintain stable economic conditions.
5. Many companies improved their financial position and profitability, which reduced the chances of loan defaults.
6. Banks maintained strong capital reserves, helping them handle financial stress and unexpected economic shocks more effectively.
7. Stable profits and sufficient liquidity helped banks and NBFCs remain financially strong and resilient.

5.0 POLICY MEASURES & REGULATORY RESPONSE:

The Reserve Bank of India and other financial sector regulators continued to strengthen the resilience of the financial system through various regulatory and supervisory measures.

Major policy initiatives included:

- * Strengthening digital lending regulations,
- * Improving liquidity risk management frameworks,
- * Enhancing cybersecurity and operational resilience measures,

- * Increasing supervision of NBFCs and interconnected financial institutions,
- * Promoting customer and investor protection mechanisms,
- * And improving transparency and governance standards.

The RBI also continued conducting periodic stress tests and macro-financial surveillance to assess the ability of financial institutions to withstand adverse economic conditions.

In addition, regulators focused on monitoring emerging risks associated with fin-tech platforms, unsecured retail lending, and global market volatility to maintain overall financial system stability.

6.0 RECOMMENDATIONS

1. Banks and financial institutions should strengthen monitoring and risk assessment of unsecured retail lending to reduce the possibility of rising defaults during economic stress.
2. Financial institutions should continue maintaining strong capital buffers and adequate liquidity reserves to improve resilience against global financial uncertainty and market volatility.
3. RBI and financial regulators may further enhance supervision of digital lending platforms and fintech-based credit models to ensure responsible lending practices and consumer protection.
4. Banks and Non-Banking Financial Company should increase investments in cybersecurity infrastructure and operational risk management frameworks to address growing technology-related threats.
5. Financial institutions should gradually integrate climate-related risk assessment and sustainable finance practices into their long-term financial planning and lending decisions.
6. Continuous stress testing and periodic review of financial sector vulnerabilities should remain a priority to strengthen the overall stability of the Indian financial system.

7.0 CONCLUSIONS

The RBI Financial Stability Report indicates that the Indian financial system remains stable, resilient, and well-capitalized despite ongoing global economic uncertainty and geopolitical challenges. Strong banking sector fundamentals, improved asset quality, stable profitability, and adequate liquidity buffers have significantly strengthened the resilience of financial institutions.

Stress test results further demonstrate the ability of banks and NBFCs to withstand adverse macroeconomic conditions while maintaining regulatory capital requirements. At the same time, emerging risks related to unsecured lending, global market volatility, cybersecurity, and digital finance continue to require careful monitoring and proactive regulatory oversight.

Overall, prudent macroeconomic policies, effective regulatory supervision, and stronger financial sector balance sheets are expected to support the long-term stability and growth of the Indian financial system.

8.0 METHODOLOGY

This report is based on secondary research and analytical review of publicly available financial data and regulatory publications. The primary source of analysis is the Reserve Bank of India's Financial Stability Report (FSR) – June 2025 and December 2025 editions. Additional references include RBI publications, regulatory disclosures, financial market reports, and publicly available economic data.

The report evaluates:

- * Banking sector performance
- * NBFC stability
- * Financial market conditions
- * Stress testing outcomes
- * Emerging financial sector risks

The analysis has been conducted using qualitative interpretation of RBI observations along with selected financial indicators and sectoral trends.

Assumptions:

- * Financial data and regulatory information published by RBI and other official institutions are assumed to be accurate and reliable.
- * Macroeconomic conditions are assumed to remain relatively stable unless affected by significant global or domestic shocks.
- * Stress-testing observations are interpreted based on publicly available RBI assessments and adverse scenario projections.
- * The report is prepared for educational and analytical purposes and does not include independent financial forecasting models.

DISCLAIMER

This report has been prepared solely for educational, academic, and internship purposes using publicly available information, including publications issued by the Reserve Bank of India (RBI) and other official sources. The analysis, observations, and interpretations presented in this report are based on secondary research and should not be considered as financial, investment, legal, or professional advice.

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